



POLICE DEPARTMENT

July 26, 2011

MEMORANDUM FOR: Police Commissioner

Re: Detective Marlon Hospedales
Tax Registry No. 917099
Emergency Service Squad 4
Disciplinary Case No. 2011/10

The above-named member of the Department appeared before me on March 22, 2011, charged with the following:

1. Detective Marlon Hospedales, assigned to the Emergency Service Unit, on or about and between March 5, 2009 and March 8, 2009, and on or about and between September 24, 2009 and September 27, 2009, wrongfully and without just cause engaged in unauthorized off-duty employment in that Detective Marlon Hospedales received compensation to appear at bodybuilding expositions.

P.G. 205-40, Page 1 – 2, Paragraphs 1 & 2 – OFF-DUTY EMPLOYMENT

P.G. 205-40, Page 4, Additional Data, Paragraph A (2) – PERSONNEL MATTERS

The Department was represented by Scott Rosenberg, Esq., Department Advocate's Office, and Respondent was represented by Philip Karasyk, Esq.

Respondent, through his counsel entered a plea of Not Guilty to the subject charges. A stenographic transcript of the trial record has been prepared and is available for the Police Commissioner's review.

DECISION

Respondent is found Not Guilty.

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SUMMARY OF EVIDENCE PRESENTEDThe Department's Case

The Department called Lieutenant Richard Quinn and Captain James Donaldson as witnesses.

Lieutenant Richard Quinn

Quinn, a 16-year member of the Department currently assigned to the Special Operations Division Investigations Unit (SODIU), began investigating an allegation of misconduct involving Respondent in October 2009. He explained that the investigation was sparked by the receipt of an anonymous letter that alleged Respondent was engaging in off-duty employment. As part of his investigation, Quinn conducted an official Department interview of Respondent in 2010. In the interview, Respondent stated that he made appearances at the ProMera Health booth at two trade shows. The first trade show took place in Columbus, Ohio in March 2009, and the second show took place in Las Vegas, Nevada in September of the same year. One show lasted three days and the other lasted two. ProMera Health is a company that makes a creatine product called Con-Cret. Quinn explained that creatine is a substance that is naturally produced in the body and is used by bodybuilders as a supplement to add size to their body or to add extra energy for their workouts.

For each day of the trade show, Respondent stood at the ProMera Health booth for four or five hours, wearing a shirt that said "Con-Cret" on it. Respondent explained to Quinn in the interview that while standing at the booth he was "more or less networking." Respondent, who is well-known in the field of bodybuilding, greeted fans,

signed autographs, and posed for pictures while at the booth. Respondent also explained to Quinn that he built his fan base in an effort to “pave the way for what he was going to do after he was through with his career with the NYPD.” Quinn recalled that Respondent’s intentions after he left the Department had something to do with pursuing a career as a stuntman. [Department’s Exhibits (DX) 1 and 1A are the tape and transcript of the official Department interview, dated March 11, 2010.]

Quinn ultimately substantiated the allegation against Respondent. Quinn explained that Respondent held himself out as a representative of ProMera Health. An internet search for Respondent’s name retrieved a hit for the ProMera Health website, which contains a photograph of Respondent. On the website, Respondent is identified as a member of the Department. Quinn testified that Respondent’s presence on the ProMera Health website is “more or less a testimonial that he uses the product.” Based upon his association with ProMera Health, the company sponsored him at a bodybuilding competition. This sponsorship consisted of money for meals, training assistance, and a number of supplements. Quinn clarified that the sponsorship may not have been given to Respondent specifically for his standing at the booths at the trade shows. For his appearance at the booths, however, Respondent did receive airfare, hotel rooms, and some meals paid by ProMera Health’s general manager, Dan Onishuk. In addition, he received the personal benefits of building his fan base and “networking with other people who could more or less further his career after he was through with the NYPD.”

During cross-examination, Quinn estimated that Respondent has approximately five or six years left before he can retire from the Department, and he agreed that Respondent’s presence at the ProMera Health booth was a benefit to him for securing a

fan base for his “eventual course into bodybuilding five to six years in the future.” Quinn added that his main conclusion from Respondent’s presence at the booth was that Respondent was somehow representing ProMera Health. Respondent signed photographs while at the booth but did not get paid for it. Similarly, Quinn found no evidence that Respondent received compensation for his “testimonial” on the ProMera Health website.

Although Quinn could not specifically recall speaking to Onishuk personally, Quinn was aware that the investigative file for this matter contained two worksheets concerning a conversation that took place between Quinn’s office and Onishuk. Quinn did not sign either of the worksheets, but he did review the file. According to the worksheets, Onishuk stated that Respondent was never an employee of ProMera Health and that the only funds spent on Respondent by the company were for his hotel, transportation, and some food at the trade shows. Quinn agreed that his investigation did not reveal a requirement that Respondent stand at the booth for a certain period of time.

During the investigation, Quinn looked into allegations that Respondent worked as a personal trainer at certain gyms by canvassing three gyms provided to Quinn by Respondent. These investigations revealed that “at some point [Respondent] was a member; however, none of the gyms could say that [Respondent] was doing any personal training at the gyms.” Quinn acknowledged that he did not investigate any other gyms beyond those disclosed to him by Respondent.

Quinn also conducted a financial investigation of Respondent by speaking to Lieutenant Cirilli of the Financial Investigation Unit. Quinn asked Cirilli to “check several different kinds of databases concerning the financial arrangements or the financial links that could be found between ProMera and [Respondent].” Cirilli found no links

between the company and Respondent. Quinn confirmed that no money was being deposited into any of Respondent's bank accounts that would indicate that Respondent was receiving "any type of financial benefit from a listed corporation." A review of Respondent's sick record revealed no instance where Respondent attended any of the trade shows while he was on duty or out on sick leave.

With regard to the internet searches for Respondent's name, Quinn stated that the searches revealed Respondent on numerous websites, such as "diet.com, bodybuilding.com, muscular development, an online magazine, RX muscle online." [Respondent's Exhibit (RX) A is an Investigating Officer's Report (Worksheet No. 40), signed by the SODIU commanding officer and dated December 11, 2009. It contains the names of the websites on which Respondent's name and/or photograph appeared. It also indicates that the websites did not show Respondent to be endorsing a product, holding a product, or wearing clothes affiliated with a product.]

Aside from the money already discussed, ProMera Health gave Respondent money for a gym membership and paid for his entrance fee into a bodybuilding competition. Quinn confirmed that there was no indication that this money received by Respondent was linked to him endorsing a product. Similarly, nothing in writing was ever produced to show that there was a *quid pro quo* relationship for Respondent to appear at the trade shows.

Regarding the financial checks that were done on Respondent, Quinn was aware that SODIU had run a check with the New York State Department, State Division of Corporations, and Division of Licensing Services for a "business personal (sic) license" in Respondent's name, and that said check was negative.

Quinn acknowledged that nothing in his investigation revealed that part of Respondent's appearance at the ProMera Health booth was a requirement for Respondent to wear a Con-Cret T-shirt. Based on the official Department interview of Respondent, the T-shirts were "giveaways," many people were wearing different types of T-shirts, and Respondent "happened to be wearing the Con-Cret T-shirt."

Quinn found no indication that ProMera Health ever issued any kind of tax paperwork for Respondent.

During redirect examination, Quinn agreed that the results of the investigation into whether or not Respondent was a personal trainer were unsubstantiated, meaning that the investigation was unable to prove or disprove the allegation. At some point after his investigation, Quinn was made aware that Respondent had submitted three separate off-duty employment applications. Respondent applied once as a personal trainer with his residence as the business location; once as a stuntman, but Quinn could not recall the business location listed; and once as a supplement representative for ProMera Health.

During recross-examination, Quinn acknowledged that he did not know when the photograph and testimonial of Respondent was put on the ProMera website. Respondent stated in his interview that he gave the company permission to use his photograph and "put his information" on the website, but he did not give permission for them to identify him as a member of the Department. Quinn conceded that, for all he knows, Respondent may have appeared on the website for free.

Quinn stated that Respondent's three off-duty employment applications were submitted sometime after the investigation started, possibly even after Respondent's official Department interview.

Captain James Donaldson

Donaldson, the commanding officer of SODIU, took part in the investigation of Respondent's alleged off-duty employment. As part of the investigation, he spoke with Onishuk on several occasions, the first of which being in December 2009. Onishuk told Donaldson that Respondent was "showcased" at two events: "The Arnold" in Columbus, Ohio in March 2009 and "The Olympiad" in Las Vegas, Nevada in September 2009. Onishuk told Donaldson that the events typically began at 10:00 a.m. and lasted until 5:00 p.m. Respondent had a "flexible schedule," appearing at the ProMera Health booth from 11:00 a.m. until 3:00 p.m. Donaldson did not ask Onishuk whether or not Respondent wore anything related to the company while standing at the booth, but Donaldson has seen photographs of Respondent wearing a Con-Cret shirt during an appearance. Onishuk told Donaldson that Respondent was not a paid employee of ProMera Health, and that any compensation Respondent received consisted of airfare to and from the two trade shows, hotel for the trade show, and meals while at the trade show. [DX 2 is an Investigating Officer's Report (Worksheet No. 39), signed by Donaldson and dated December 11, 2009. It summarizes Donaldson's conversation with Onishuk.]

During cross-examination, Donaldson testified that he spoke to Onishuk three times about Respondent. Onishuk never told Donaldson that Respondent was required to stand at the booth or wear a Con-Cret T-shirt. Nor did Onishuk tell Donaldson that payment for Respondent's hotel and meals was contingent on Respondent standing at the booth. Respondent was permitted to come and go as he pleased. Donaldson acknowledged that during his investigation, he was not able to uncover "any financial

links whatsoever between [Respondent] and this company” besides the meals, airfare and hotels already discussed, nor was he able to uncover “any written document, memo or scrap of paper indicating that [Respondent] was in any way expected to stand at the booth in exchange for those meals, airfare or hotel.”

During redirect examination, Donaldson acknowledged that in addition to receiving the airfare, hotel and meals, Respondent also received vitamin supplements as compensation while representing ProMera Health at the event in Ohio. According to Donaldson, Respondent was required to stand at the booth. As he understood it, though, “if [Respondent] got hungry, he could get something to eat; if he had to go to the bathroom and if he needed a break to wander around, that he could leave the booth and return when he completed whatever he had to do.”

During recross-examination, Donaldson conceded that during his interview with Onishuk, Onishuk never used the word “required” in regard to Respondent standing at the booth. Donaldson explained that he concluded that it was a requirement “based on the gist of the conversation.”

Respondent's Case

Respondent testified in his own behalf.

Respondent

Respondent, a 15-year member of the Department, is currently assigned to the Emergency Service Unit. He has never before been the subject of Department charges. He testified that he first came into bodybuilding at the age of 12 because his father and

grandfather were both bodybuilders and he “wanted to fashion after them.” He started participating in bodybuilding competitions at the age of 18, but took a hiatus from the activity while in college. He returned to competition in 1998 and has since won consecutive world championships.

In 2007, while preparing for the Team Universe bodybuilding competition, Respondent came across a magazine advertisement for a creatine supplement which advertised all the benefits of creatine without the water retention typically associated with the substance. As a natural bodybuilder, Respondent was interested in the product and placed an order. When the order did not arrive after a couple of weeks had passed, Respondent called the company and spoke with Onishuk. Onishuk apologized for the delay and explained that the company was very new and was behind on getting the product to market. Although there was no product available to be shipped at the time, Onishuk offered to send to Respondent the two sample containers he had in his office. Respondent testified that during that initial telephone conversation with Onishuk, a friendship began between the two and evolved from that point. Onishuk would call Respondent in the weeks before the competition “to see how it was coming with preparation and so forth.” Respondent was pleased with the product that Onishuk provided, and their friendship continued to grow after the competition was over.

Respondent testified that the first time he met Onishuk in person was at the Olympia bodybuilding competition in 2008. When Onishuk telephoned Respondent before the Team Universe competition to wish him luck, he invited Respondent to go to the Olympia competition with ProMera Health. Respondent testified that the Olympia is the “granddaddy of bodybuilding,” so “of course” he took the opportunity to attend, but

there was no *quid pro quo* indicated or implied (either directly or indirectly) for the invitation. Respondent understood the circumstances of the invitation to be “one friend inviting another friend to a bodybuilding show with them. They happen to have a company and I use some of the products, but other than that, it’s one friend inviting another friend to a show.” Between 2008 and 2009, Respondent continued to use ProMera Health’s creatine supplement off and on, along with other creatine products.

Respondent testified that in 2009, Onishuk invited him to another show, the Arnold Classic. The invitation was made in a manner similar to the 2008 invitation: Onishuk informed him that ProMera Health was going to the event and asked him if he wanted “to come along.” Respondent testified that for this show, Onishuk paid for Respondent’s airfare, hotel, and some of his meals. The only meals paid for by Onishuk were group meals attended by Respondent and other supplement company owners, where “it’s not uncommon for one guy to pick up the check.” There were times when Respondent went out for meals without Onishuk, and those times Respondent paid for his own meals. Respondent did not receive a stipend.

According to Respondent, when Onishuk invited him to Olympia there was no understanding, either explicit or implied, that he was to stand at the ProMera Health booth for any period of time. Respondent had “no obligation to stand at this booth” and could leave whenever he wanted. Respondent stated that he actually went around visiting other booths in an effort to “keep [his] fan base going” and improve his popularity. Such activity, Respondent explained, constituted “showcasing” himself, which was “kind of the whole point” of attending bodybuilding events: to increase fan base to do better in the

next competition. This was also the reason why Respondent did not charge anyone for the autographs he signed or the photographs he gave out to fans at the event.

Respondent testified that he was not required to wear the Con-Cret T-shirt, and that he could have worn any T-shirt he wanted. He did not have to stand at the booth for a specific amount of time, nor arrive or leave at a certain time, nor ask for permission to leave the booth. Aside from the airfare, hotel, and meals already discussed, Respondent testified that he did not receive any money, or financial compensation, or anything of value for standing at the booth. Respondent was never told by Onishuk to stand at the booth, nor was there any kind of written understanding between the two that Respondent would be required to stand at the booth. Respondent stated that there were several times when he stood at the booth when he was not wearing a Con-Cret T-shirt. [RX B is a photograph of Respondent standing at the booth in a black shirt with no lettering on it.]

Respondent testified that he has appeared in photographs with Con-Cret products on the internet and that he gave his permission, without receiving any compensation, to Con-Cret to show his picture with their products. He explained that there are few opportunities in the bodybuilding world for amateur bodybuilders to gain exposure. Although amateurs do not get paid when their photographs appear in magazines, when they are approached by someone who owns a supplement company and has space in magazines, it is a big deal for that bodybuilder. Recognition tends to increase popularity at bodybuilding competitions, which generates positive results for bodybuilders when they have a good crowd and a lot of fans behind them. According to Respondent, he has never been compensated for any of his testimonials for Con-Cret or any other supplement since he is an amateur bodybuilder and amateur bodybuilders are not allowed to receive

money or compensation; doing so would bar him from competing in amateur contests and would result in the loss of his status as an amateur. Respondent has never received a steady stream of clothing or supplements from Con-Cret. Respondent does not work as a trainer at a gym, and any bodybuilding events he attends are on his own time and never on Department time.

During cross-examination, Respondent acknowledged that he is a well-known bodybuilder with a large fan base, including an international fan base, and that he is “somewhat” of a celebrity in the bodybuilding community. Respondent said that there were vendors at the March 2009 exposition in Ohio, many of whom sold products relating to bodybuilding, such as creatine. He admitted that while at the event, he stood at the ProMera Health booth for approximately four to five hours per day, some of the time while wearing a company T-shirt. People recognized and approached Respondent while he was standing at the booth. He clarified that his celebrity status attracted people not to the ProMera Health booth, but to him. People approached him not just while he was at the booth, but also while he was walking around. When approached at the booth, he signed photographs, took pictures with people, and discussed his views on bodybuilding.

With regard to the bodybuilding exposition in Las Vegas, Respondent confirmed that he stood at the ProMera Health booth for more than one day, for about the same amount of time as he did in Ohio (approximately four to five hours each day). Respondent expressed that because of his celebrity status, people came up to him while he was standing at the booth, and he would sign autographs and take pictures.

Respondent acknowledged that he is friends with Onishuk, although they do not “hang out” regularly because Onishuk lives in a different state. There were a couple of times, though, that Onishuk came to New York for local bodybuilding shows and the two “did hang out.” He added that Onishuk would come to every bodybuilding show that Respondent did on his own, “not representing Con-Cret or ProMera Health,” but “to show his support to [Respondent] as a friend.” Respondent explained that he does not hang out with Onishuk, or “hang out much with anybody” on his regular days off since he has two children and tries to spend as much time with them as possible.

Respondent acknowledged that he submitted an application for off-duty employment as a personal trainer, and explained that he did so after he was advised by either Quinn or Donaldson at his official Department interview to do so. Respondent explained that even though he was clearly not employed as a trainer, he submitted the application because he was “accused of these things” and was trying to protect himself. Similarly, Respondent also submitted an off-duty application for the Screen Actors Guild even though he was not doing any work related to acting at the time.

Upon questioning by the Court, Respondent confirmed that while at the event in Ohio, he stood at booths other than the ProMera Health booth because he has friends who own other supplement companies. He spent a half hour or an hour at these other booths, but he could not recall the exact length of time. He stayed at the ProMera Health booth for the length of time that he did because he is “friends with those guys.” Onishuk was at the booth while Respondent was there, but not the entire time. Two other men were also at the booth. Respondent added that he “was never bound to stay at any one spot at any given time” and that the men at the booth had no control over what he did or where he

went. He did not have to spend a certain amount of time at the booth for each day of the shows in either Ohio or Las Vegas; he could stay or “not stay at all.”

Part of the culture of bodybuilding, Respondent explained, is going to these trade shows and stopping at the creatine and supplement booths. There are hundreds of booths set up in the open space of convention centers; people stop to buy or pick up free things offered at the booths and then attend the show. He confirmed that this same setup is utilized for all bodybuilding competitions, whether at a local gym or a “big production,” where people are selling products. The shows in Columbus and Las Vegas were big scale events. Respondent stated that the trade shows are the one chance for his international fans to see and meet with him in person, so they stop him and take pictures with him. He attends the big shows whether or not he competes.

Respondent testified that he has never received airfare or hotel compensation from any other companies because he is not as friendly with “those guys” as he is with Onishuk and Onishuk’s coworkers.

FINDINGS AND ANALYSIS

Respondent, assigned to the Emergency Services Unit, stands charged herein in that on or about and between March 5, 2009 and March 8, 2009 and on or about and between September 24, 2009 and September 27, 2009, he wrongfully and without just cause engaged in unauthorized off-duty employment in that he received compensation to appear at bodybuilding expositions. Respondent is found Not Guilty.

Evidence adduced at trial established through the testimony of Quinn, a lieutenant assigned to the Special Operations Division Investigations Unit (SODIU), was that he

received an anonymous letter that Respondent was engaged in off-duty employment. Quinn conducted an investigation which included an official Department interview of Respondent. Respondent acknowledged that he made appearances at the ProMera Health booth at two trade shows, one in Columbus Ohio in March 2009, and the second trade show in Las Vegas, Nevada in September 2009. Respondent informed Quinn that on each day of the trade shows, he stood at the ProMera Health booth for four or five hours, wearing a T-shirt that said "Con-Cret" on it. "Con-Cret" is a creatine product produced by the company ProMera Health.

Quinn substantiated the allegation that Respondent was engaged in off-duty employment because Respondent held himself out as a representative of ProMera Health. He stated that the ProMera Health website has a picture of Respondent and Respondent's presence is "more or less a testimonial that he uses the product." Based upon this association with ProMera Health, the company sponsored Respondent at bodybuilding competitions by paying for meals, training assistance, and providing supplements. Quinn further concluded that for Respondent's appearances at the booths, he received the cost for airfare, hotel stays and some meals from the company's general manager, Dan Onishuk. He also received the added benefit of networking with people who could further his career after he leaves the Department, at which time he would like to be a stuntman.

Respondent testified in his own defense that in 2007, while preparing for a Team Universe bodybuilding competition, he came across a magazine advertising a creatine supplement which advertised all the benefits of creatine without water retention. Respondent said he was a natural bodybuilder and the product sounded interesting, so he

placed an order. When the product did not arrive in a few weeks, he placed a call to the company and actually spoke to Onishuk. Onishuk apologized for the delay in shipment stating the new company was behind in its product availability. He offered to send Respondent two sample containers of the product, and from that conversation, a friendship began.

Respondent said that Onishuk would call him weeks before competition to see how his training was going. They met for the first time during an Olympia competition in 2008. Onishuk invited Respondent to attend the bodybuilding competition and Respondent accepted the offer. He explained that the Olympia competition is the “granddaddy of bodybuilding” so he took the opportunity to attend. He felt the offer was from one friend to another. He said there was no indicated or implied *quid pro quo* in exchange for his attending the competition. He felt his friend happened to own the company for a product he used. He had no requirement to wear a T-shirt, or to stand at the booth for any specified number of hours. He was not compensated for standing at the booth and there was no express or implied agreement that he had to stand at the booth. Respondent stated that there were times when he stood at the booth and did not have a product T-shirt on. (See RX B where Respondent is at the booth in a black T-shirt).

Respondent stated that he is well known in the bodybuilding community and has a large fan base which is also international. He explained that standing at the booth increases his popularity. He signs autographs, takes pictures without compensation, and increases his popularity in contests. He explained that as an amateur bodybuilder, he is not allowed to receive money or compensation otherwise he will be barred from competing in amateur contests and lose his status as an amateur. He further explained

that there are few opportunities for amateurs to get exposure, so standing around the booths at trade shows where the public stops buy to make purchases or to get free items while attending a show is part of the culture of bodybuilding.

To establish off-duty employment, an employer and employee relationship must be established. James Donaldson, the Commanding Officer of SODIU had several telephone conversations with Onishuk. Onishuk stated that he showcased Respondent at two events, "The Arnold" in Columbus Ohio in March 2009 and "The Olympiad" in Las Vegas, Nevada in September 2009. Onishuk's statement that Respondent was not a paid employee of ProMera Health was confirmed by the financial investigation conducted by Quinn. No financial link, such as a salary, was found between the company and Respondent. While Respondent's presence at the booth presumably attracted attention to the company, Onishuk never told Donaldson that Respondent was required to stand at the booth or that payment for Respondent's hotel and meals was contingent on him standing there. Respondent, who was permitted to come and go as he pleased, also stood at other booths throughout the course of the trade shows. Respondent explained that if he stood longer at the ProMera booth it was only because he was friends with Onishuk and the other workers there. He sometimes wore a Con-Cret T-shirt and other times did not. This all supports a conclusion that a formal employer-employee relationship was never established.

In addition to the airfare and hotel, it is certainly true that by standing at the booth Respondent received benefit in the form of building his fan base and networking with people who might be able to further his potential post-Department career as a stuntman. These benefits, though, were personal in nature. There is little doubt that Onishuk

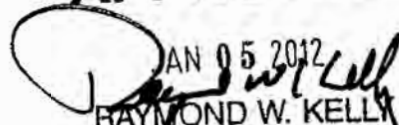
benefitted or at least sought to benefit from Respondent's presence at his booth, but there is no evidence of an employment relationship. Further, there appears to have been only these two isolated incidents which support the notion that this was not an employer-employee relationship. It is also important to note that there is no evidence that Onishuk or Respondent used Respondent's status with the Department to promote the product nor was any such conduct charged. Respondent's activities while at the trade shows (standing at the booth, taking pictures, signing autographs) were consistent with his hobby as an amateur bodybuilder.

Accordingly, Respondent is found Not Guilty.

Respectfully submitted,



Claudia Daniels-DePeyster
Assistant Deputy Commissioner-Trials

APPROVED
JAN 05 2012

RAYMOND W. KELLY
POLICE COMMISSIONER